currencies. It’s called a currency but is not supposed to replace the rupee or any other official currency?

A currency serves the purpose of payment when buying and selling a commodity. A commodity, which has some inherent value, is bought and sold for consumption or retention as an asset. Currency and commodity are two different things.

A cryptocurrency is not a commodity with any intrinsic or commonly acceptable value. Thus, it does not satisfy the normal definition of a commodity.

Normally, commodities are consumed. Commodities derive their value as meeting consumer demand of consumption. Their prices are determined by the interplay of the forces of demand and supply, which is not necessarily based on utility to the consumer. Cryptocurrencies are not consumed.

Cryptocurrencies do exhibit the character of being an asset—a non-physical asset like goodwill or a brand. The value of the asset has no definite relation to the underlying utility from the use or retention of the asset. Asset valuation is the function of demand and supply of that asset.

In view of this, it is apparent that no cryptocurrency is a currency. Cryptocurrencies are not commodities either. They can at best be viewed as an asset.

Maintaining the value of currency and money is complex. Blockchain technology is designed to keep a decentralized record, but it has no algorithms or program that can manage, maintain or move the value of currency with the real economy and ensure stable conversion with real/official currencies.

Pureplay cryptocurrencies have no interface with the real economy and, therefore, cannot maintain any value relationship with the wider economy.

Cryptocurrencies are unlikely to make any headway in becoming a significant part of the digital payment system.